

LBOMODEL2 — Assumptions_Drivers Source Map (unified; no AI_Cost_Sources tab)

Every driver row has Why-reasonable commentary, clickable source, credibility note, and clickable Feeds. Excel

Driver	Why reasonable	Source	Feeds
Revenue growth	Assumes steady top-line expansion. Reasonable for a mature enterprise software company, avoiding aggressive hypergrowth assumptions while maintaining a healthy, realistic sales trajectory.	ZoomInfo FY2024 results (BusinessWire)	Go to AI_Operating!D5 (Revenue) (AI_Operating!D5)
Gross margin	High profitability on direct services. Highly reasonable for a SaaS company, which historically scales digital infrastructure with minimal incremental cost per user.	Aleph/Benchmarkit SaaS GM median ~80%	Go to AI_Operating!D6 (COGS) (AI_Operating!D6)
Sales payroll cut (Y1)	Immediate headcount reduction for human SDRs. Reasonable as a private equity cost-cutting measure, easily achieved by eliminating the lower-tier outbound sales team.	AI SDR vs human SDR cost/meeting analysis	Go to AI_Operating!D7 (Sales payroll) (AI_Operating!D7)
Variable commission cut	Reduces payouts for automated sales. Reasonable because AI agents do not collect commission checks, retaining more profit per enterprise deal directly for the company.	SDR pay mix ~70/30 base/variable (SyncGTM)	Go to AI_Operating!D8 (Commissions) (AI_Operating!D8)
AI infrastructure (\$m)	Fixed cost for AI software and compute. Reasonable estimate for enterprise-scale AI deployment, covering API calls and infrastructure needed to replace human reps.	Salesforce Agentforce \$2/conv + Flex Credits press	Go to AI_Operating!D10 (AI infrastructure) (AI_Operating!D10)
S&M; expense growth Y2+	Caps future marketing cost increases. Reasonable because AI scales infinitely without needing proportional headcount additions, severing the link between revenue growth and human hiring.	Gartner: agentic AI / inference scales as opex	Go to AI_Operating!E7 (payroll Y2+) (AI_Operating!E7)
G&A; % of revenue	General administrative overhead costs. Reasonable for a public-to-private SaaS company, maintaining standard corporate expenses without relying on unrealistic operational magic outside of sales.	ZoomInfo FY24 G&A; \$295.3m (company results)	Go to AI_Operating!D12 (G&A;) (AI_Operating!D12)
CapEx reduction vs base	Lowers physical equipment spending. Reasonable because firing 15% of the sales team permanently eliminates the need to purchase and refresh their laptops and hardware.	In-house SDR all-in includes devices/tooling	Go to AI_Operating!D19 (CapEx) (AI_Operating!D19)
WC / receivables improvement	Speeds up cash collection from clients. Reasonable because automated AI billing systems can aggressively follow up on late invoices, freeing up cash for debt paydown.	ZI receivables ~80 days (SEC-derived ratios)	Go to AI_Operating!D20 (ΔNWC) (AI_Operating!D20)
SOFR	The foundational secured lending interest rate. Reasonable and historically accurate for the macroeconomic environment, properly reflecting actual institutional baseline borrowing costs.	NY Fed official SOFR reference rate	Go to Debt_Sweep_AI!C12 (TLA rate uses SOFR) (Debt_Sweep_AI!C12)
Term Loan A spread	The risk premium for senior debt. Reasonable for a standard LBO, reflecting typical syndicated commercial bank pricing for secured corporate borrowing.	LBO debt structure: TLA illustrative spreads	Go to Assumptions_Drivers!C27 (TLA rate) (Assumptions_Drivers!C27)
Term Loan B spread	The risk premium for riskier debt. Reasonable, as Term Loan B is usually held by institutional investors requiring higher yields for slightly higher risk.	TLB pricing often SOFR+300–500bps	Go to Assumptions_Drivers!C28 (TLB rate) (Assumptions_Drivers!C28)
Mandatory amortization	Required annual principal repayment. Highly reasonable and standard market practice for leveraged loans, forcing a tiny minimum debt reduction each year.	Syndicated TLB ~1% annual amort standard	Go to Debt_Sweep_AI!D5 (Mandatory 1%) (Debt_Sweep_AI!D5)
Cash sweep %	Dedicates all excess cash to debt. Reasonable and standard for maximizing LBO returns, ensuring every free dollar generated immediately aggressively reduces outstanding leverage.	LBO optional prepay / excess cash practice	Go to Debt_Sweep_AI!E5 (Total paydown) (Debt_Sweep_AI!E5)
Tax rate	Corporate income tax obligation. Perfectly reasonable because it strictly matches the current standard U.S. federal statutory corporate tax rate without aggressive tax-dodging assumptions.	PwC Tax Summaries: US federal CIT 21%	Go to AI_Operating!D18 (Net income) (AI_Operating!D18)
Exit EV/EBITDA multiple	The valuation multiple upon selling. Reasonable to keep it conservative; relying on a 13x exit assumes no market inflation, proving returns come from operational growth.	PE SaaS buyouts often ~15–22x EBITDA	Go to LBO!D17 (Exit multiple) (LBO!D17)
S&M; baseline (\$m)	This is historical assumptions without AI. Total initial sales spend is reasonable, representing roughly 35% of FY24 revenue, perfectly aligning with standard SaaS benchmarks.	ZI FY24 S&M; \$414.1m on \$1,214.3m revenue	Go to AI_Operating!C9 (S&M; human FY24A) (AI_Operating!C9)
Payroll baseline (\$m)	This is historical assumptions without AI. The fixed salary portion is reasonable, representing 75% of S&M;., accurately reflecting that human software sales floors are base-salary heavy.	SDR OTE mostly base (~70%) — SyncGTM	Go to AI_Operating!C7 (Payroll FY24A) (AI_Operating!C7)
Commission baseline (\$m)	This is historical assumptions without AI. The variable payout is reasonable, calculating exactly to the remaining 25% of the budget, representing standard quota-based enterprise sales incentives.	Variable ~30–35% of tech SDR OTE	Go to AI_Operating!C8 (Commissions FY24A) (AI_Operating!C8)
CapEx base % of rev	This is historical assumptions without AI. Normal hardware and capitalized software spending is reasonable for asset-light tech companies investing heavily in code rather than factories.	ZI FY24 strong FCF / asset-light SaaS profile	Go to AI_Operating!D19 (CapEx) (AI_Operating!D19)
WC base % of Δrev	This is historical assumptions without AI. Normal working capital needs are reasonable, showing that as revenue grows, a small percentage of cash gets tied up in daily operations.	ZI receivables days ~80 (WC intensity)	Go to AI_Operating!D20 (ΔNWC) (AI_Operating!D20)

TLA rate (SOFR+4)	Total Term Loan A interest. Mathematically correct and reasonable for the total borrowing cost demanded by senior lenders in this specific rate environment.	LBO TLA = SOFR + senior bank spread	Go to Debt_Sweep_AI!C12 (TLA rate) (Debt_Sweep_AI!C12)
TLB rate (SOFR+5)	Total Term Loan B interest. Mathematically correct and perfectly reasonable, pricing the institutional debt risk appropriately above the safer Term Loan A.	LBO TLB = SOFR + institutional spread	Go to Debt_Sweep_AI!D12 (TLB rate) (Debt_Sweep_AI!D12)

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